THE STATE UNIVERSITY OF ZANZIBAR

DEPARTMENT OF INFORMATION TECHNOLOGY AND COMPUTER SCIENCE

INDIVIDUAL ASSIGNMENT

COURSE NAME: MARKETING AND CUSTOMER CARE.

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Qn 1. To explain the meaning of the product life cycle.

The **Product Life Cycle (PLC)** is a marketing concept that describes the stages a product goes through from the time it is introduced into the market until it is finally withdrawn. It shows how **sales, profits, competition, and marketing strategies** change over time. Understanding the PLC helps businesses anticipate changes in demand, plan marketing strategies, manage production, and make informed decisions about product innovation or replacement. Essentially, the PLC provides a framework for managing a product throughout its entire lifespan, ensuring that companies can maximize revenue, adapt to market conditions, and sustain a competitive advantage.

Qn 2. To describe the stages of the product life cycle.

1. Development Stage

The **development stage** is the phase that occurs before a product is introduced to the market. During this stage, a company invests heavily in **research and development (R&D)**, product design, and testing to ensure the product meets the needs of the target customers. Market research is conducted to identify consumer preferences, assess competitors, and estimate potential demand. Prototypes are developed, refined, and tested for functionality, durability, and quality. Costs are typically very high at this stage due to design, testing, and production setup, while no revenue is generated, resulting in negative profits. A key challenge in this stage is the **risk of failure**, as not all products reach the market successfully. For example, a company developing a new wearable fitness device may spend months creating prototypes and testing features such as heart rate monitoring and GPS tracking before launching the product.

2. Introduction Stage

The **introduction stage** begins when the product is launched into the market for the first time. The primary goal in this stage is to **create awareness** and encourage customers to try the product. Companies invest heavily in advertising, promotions, and public relations to communicate the product's benefits and features. Distribution channels are established to ensure the product is accessible to target customers. Sales are usually low at this stage because the product is new and customers may be hesitant to adopt it immediately. Profits are minimal or negative due to high marketing and production costs. For instance, when a new smartphone model is released, the company may run large-scale marketing campaigns, offer early-bird promotions, and provide free demonstrations to attract buyers.

3. Growth Stage

In the **growth stage**, the product gains **market acceptance**, and sales start to increase rapidly. Customers become aware of the product and its benefits, leading to higher demand. Businesses often expand distribution channels, introduce product variations or improvements, and increase promotional activities to capture a larger market share. Costs for production and marketing are still present, but revenue grows faster than expenses, resulting in rising profits. This stage presents opportunities to **build**

brand loyalty and strengthen market position. However, competition usually intensifies as rival companies notice the product's success. For example, a newly launched electric scooter may gain popularity after early adopters recommend it, prompting the company to expand sales to more cities and introduce additional models with enhanced features.

4. Maturity Stage

The **maturity stage** occurs when the product reaches **peak market penetration**, and the growth of sales begins to slow. At this point, most potential customers are aware of the product, and the market becomes saturated. Businesses focus on maintaining market share through **product differentiation, customer loyalty programs, competitive pricing, and promotions**. Profits typically stabilize and may start to decline slightly due to increased competition and potential price wars. The challenge is to **sustain sales** without overspending on marketing. For example, a popular smartphone that has been in the market for a few years may face competition from similar devices; the company may release software updates, add new accessories, or offer bundled deals to retain customers.

5. Decline Stage

The **decline stage** occurs when the product experiences a **fall in sales and profits** due to market saturation, evolving customer preferences, or technological changes. Companies may reduce production, cut marketing costs, or gradually discontinue the product. Strategies such as **discounting, repositioning, or introducing a replacement product** are often employed to manage the decline. The main goal is to minimize losses while extracting remaining value from the product. For instance, older feature phones have largely declined in popularity due to the rise of smartphones; companies may sell their remaining stock at discounted prices while focusing on launching new models.

Qn 3. Implication of the PLC in the choice of marketing strategy in each stage.

1. Introduction Stage

Implications for Marketing Strategy:

- Heavy advertising and promotion to create awareness and educate consumers about the product.
- May use **penetration pricing** (low price to attract customers) or **skimming** (high price to recover development costs).
- Limited, selective distribution; focus on channels that reach early adopters.
- Focus on highlighting benefits, quality, and unique features.

Example: Launch of a new Car model.

2. Growth Stage

Implications for Marketing Strategy:

- Shift from awareness to persuasion; emphasize brand differentiation.
- Maintain competitive pricing to attract more buyers.
- Expand distribution to reach more markets.
- Add features, improve quality, or introduce new variants to attract more customers.

3. Maturity Stage

Implications for Marketing Strategy:

- Focus on brand loyalty and reminding customers; use sales promotions, loyalty programs.
- Competitive pricing or discount strategies to maintain market share.
- Maximize availability; ensure product is in all key channels.
- Product differentiation and modifications (e.g., improved design, additional features).

Example: A popular soft drink brand.

4. Decline Stage.

Implications for Marketing Strategy:

- Reduce advertising; focus on niche markets or loyal customers.
- Consider discounting to clear inventory or maintain some profit.
- Limit channels; concentrate on profitable or loyal segments.
- Decide whether to **maintain**, **harvest** (reduce costs), or **discontinue** the product.

Example: Older technology, like telnet and DVD players.

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